Tshwane University of Technology

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YEAR:	2026
SEMESTER TEST	2

SUBJECT NAME:	Business Cost Management A
SUBJECT CODE:	BCM115D/BCMF15D
QUALIFICATION(S):	DPIF20/ DPIFF0

PAPER DESCRIPTION: Closed Book | **DURATION:** 2 HRS | **PAPER:** Only

SPECIAL REQUIREMENTS	
☒	**NONE**
☐	**NON-PROGRAMMABLE POCKET CALCULATOR**
☐	**SCIENTIFIC CALCULATOR**
☐	**COMPUTER ANSWER SHEET**
☐	**GRAPH PAPER**
☐	**DRAWING INSTRUMENTS**
OTHER:	

INSTRUCTIONS TO CANDIDATES:	Answer all questions
	Answer NEATLY and CLEARLY. Number your answer as indicated on each question.
TOTAL NUMBER OF PAGES INCLUDING COVER PAGE:	4
TOTAL NUMBER OF ANNEXURES:	0

EXAMINERS:	Ms. T. Magudulela, Ms. L. Ntsoane,Mrs I Abraham-Samgeorge, Mr. D. Malebana	**FULL MARKS:**	**50**
MODERATOR:	Dr. C. Kgoetiane	**TOTAL MARKS:**	**50**

Question 1

[8]

1.1 Budgets are important because they provide a structured plan for managing income and expenses, enabling individuals and organisations to use their financial resources efficiently. A well-prepared budget supports financial discipline, improves decision-making, and helps achieve both short-term and long-term financial goals. **Explain the term budget.**

(2)

1.2 Variance analysis is a valuable tool because it enables organisations to identify the reasons behind differences between actual outcomes and planned or budgeted figures, equipping managers with the insight needed to make informed decisions. Its usefulness extends across financial control, operational efficiency, and strategic planning. **Outline the term variance analysis.**

(2)

1.3 Point out any four (4) types of variance analysis.

(4)

Question 2

[12]

2.1 A construction company, BuildRight Ltd., is hired to renovate a client's office space. The project involves demolition, electrical rewiring, new flooring, and furniture installation. The project manager, Sarah, must manage costs carefully because the client has a fixed budget of R500,000 and a strict 3-month deadline. There are four phases involved in Project Cost Management. **Relate these phases and their role in cost management and impact on the project's performance.**

(8)

2.2 Strategic Management Accounting (SMA) is a form of management accounting that provides information focused on the external environment and the organisation's competitive position, to support long-term strategic decision-making. Unlike traditional management accounting, SMA looks outward at competitors, markets, and industry trends. **Identify at least FOUR (4) tools or techniques commonly associated with Strategic Management Accounting(SMA).**

(4)

QUESTION:3

[15]

Sizakancane Supermarket has introduced a new Point-of-Sale (POS) system to improve customer service. Cashiers use barcode scanners to scan products, while computers calculate the total amount due. The system stores customer and product information in a database. Employees follow standard operating procedures when processing sales, and customers receive printed receipts after payment.

3.1 Using the scenario above, point out five components of an Information System used by Sizakancane Supermarket. (5)

3.2 Study the statements given below in column A and match them with the correct term that best describes them. Write your correct answer in your answer book. (5)

Mainframe, Cloud Computing, Enterprise computing, Personal computers, Minicomputers, and Client/Server Networks

Column A	Column B
1. Operators received requests to run queries, which were processed in a batch with other requests and returned the information later.	a)
2. Data is stored via distributed hardware that can be accessed via the internet.	b)
3. Clients can access data on servers anywhere in the business's network.	c)
4. Requests to retrieve information are sent via terminals.	d)
5. Users could submit requests themselves and receive information in near-real time.	e)

3.3 Sunrise Furniture Ltd, a medium-sized manufacturer of office furniture, has implemented a new Management Information System (MIS) to enhance the collection and reporting of cost and production data. Previously, top management faced challenges in revising objectives, allocating resources, and assessing performance against budgets. The MIS now provides structured reports and dashboards, enabling management to conduct monthly reviews to evaluate performance and plan future initiatives. Using the Sunrise Furniture Ltd scenario above, **recommend any five ways** in which a Management Information System (MIS) supports management in their business (importance and uses of MIS). (5)

QUESTION: 4

An Accounting Information System (AIS) is a unified structure that employs physical resources and components to transform economic data into accounting information and provides tools and systems for the collection and display of accounting information, enabling accountants and executives to make informed decisions. **[15]**

4.1 By using a drawing, illustrate the steps of transforming data into information. (10)

4.2 List 5 characteristics of the Accounting Information System (AIS) (5)

END